

M/S Uflex Limited v. State of U.P. & 4 Others

Allahabad High Court · Division Bench · 26 September 2023 · 2023:AHC:188344-DB · Writ - C No. 27838 of 2023 (Civil Misc. Recall Application No. 2 of 2023) · **Writ and recall application disposed of; the order dated 21.08.2023 is replaced; petitioner relegated to the CGRF, Company Level, Meerut under Clause 7.10(iii); no coercive action for four weeks if that remedy is availed within one week**

HEADNOTE

Where a consumer challenges an order rejecting, under Clause 6.5(b)(iii) of the U.P. Electricity Supply Code, 2005, a claim of no liability for fixed charges during a period when supply was discontinued because a third party illegally damaged the supply cable, and the dispute is factual, the writ court will not decide that liability. Interference under Article 226 is declined because Clause 7.10(iii) is an adequate statutory remedy before the Consumer Grievance Redressal Forum. On recall, an earlier direction to the Forum at NOIDA was deleted: the respondents accepted that the statement of NOIDA jurisdiction was inadvertent and that jurisdiction lies with the Forum, Company Level, at Meerut. If the consumer approaches that forum within one week, a stay application is to be considered on its own merit within one week of filing, and no coercive action is to be taken for four weeks, the delay being attributed to the respondents. The Court did not decide whether the fixed charges were payable, and it did not apply the two decisions the petitioner cited.

FACTUAL SUMMARY

M/S Uflex Limited challenged the order dated 31 July 2023 of respondent no. 4 in Writ-C No. 27838 of 2023. It disputed liability for fixed charges while electricity supply stood discontinued because a third party had illegally damaged the supply cable. That claim had been rejected under Clause 6.5(b)(iii) of the U.P. Electricity Supply Code, 2005. The petitioner relied on M/S Modern Rice Mill v. MVVNL and Harihar Cold Storage v. PVVNL. The respondents pointed to Clause 7.10(iii) as an adequate remedy, and the petitioner raised a threat of disconnection.

On 21 August 2023 the Division Bench declined Article 226 interference and sent the petitioner to the Consumer Grievance Redressal Forum at NOIDA. On Civil Misc. (Recall) Application No. 2 of 2023 the Court recorded that the NOIDA forum lacked jurisdiction and that the grievance lay with the Forum, Company Level, at Meerut. The respondents accepted that their earlier statement was inadvertent. On 26 September 2023 the Court treated the 21 August 2023 order as deleted and replaced it with a direction to the Meerut forum.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::7.10(iii)

Clause 6.5(b)(iii) rejection of a fixed-charge claim relegated to the CGRF, Company Level, Meerut; writ declined

QUESTION

Where a consumer challenges a Clause 6.5(b)(iii) rejection of a claim of no liability for fixed charges during a third-party interruption of supply, and Clause 7.10(iii) is available, will the writ court decide that liability?

HOLDING

No. In the face of the statutory remedy under Clause 7.10(iii) and a prima facie factual dispute, interference under Article 226 is declined so that the Consumer Grievance Redressal Forum may examine the dispute first. On Civil Misc. (Recall) Application No. 2 of 2023 the Court treated its order dated 21.08.2023 as deleted. That order had required the petitioner to approach the Forum at NOIDA, which lacks jurisdiction over this grievance. Jurisdiction lies with the Consumer Grievance Redressal Forum, Company Level, at Meerut, as the respondents accepted after stating that the earlier instruction was inadvertent. Subject to the petitioner availing Clause 7.10(iii) within one week, together with a copy of the order, the petitioner may apply for stay, to be dealt with on its own merit within one week of institution, and no coercive action is to be taken for four weeks. The recall application and the writ are disposed of. ¶ 3-7

QUALIFIER

Counsel for the respondents had submitted that a stay application could be disposed of within 15 days of institution. The substituted order, which the Court directed to stand in place of the order dated 21.08.2023, keeps a one-week period for that application and separately restrains coercive action for four weeks. The four-week protection is attributed to delay caused by the respondents' inadvertence.

FLAG Source PDF concatenates the order dated 21.08.2023 (Neutral Citation 2023:AHC:167810-DB; coram Saumitra Dayal Singh, J. and Rajendra Kumar-IV, J.), a listing order dated 21.09.2023 (coram Saumitra Dayal Singh, J. and Arun Kumar Singh Deshwal, J.: put up on 26.09.2023), and the operative order dated 26.09.2023 (Neutral Citation 2023:AHC:188344-DB). The 21.08.2023 order is the text the Court directed to be treated as deleted and replaced. Paras are the numbered paragraphs of the 26.09.2023 order; the substituted text sits inside paragraph 6 and is itself numbered 1-9. The Court did not quote Clause 6.5(b)(iii) or Clause 7.10(iii). Respondent no. 4 is not named. Catalog has UP-2005::6.5(b) and UP-2005::6.5(b)(ii), not a separate 6.5(b)(iii) key; the impugned decision is recorded as the Court named it and is not separately construed. No Indian Kanoon document id is in the fingerprint.

PRINCIPLE TAGS

- cgrf-7.10-alternate-remedy** The challenge to the 31.07.2023 rejection, under Clause 6.5(b)(iii), of the claim that fixed charges were not payable while supply was off because a third party damaged the cable was not decided on the writ. The petitioner must approach the Consumer Grievance Redressal Forum, Company Level, at Meerut under Clause 7.10(iii). The Forum at NOIDA was held to lack jurisdiction over this grievance. ¶ 3-6
- alternate-remedy-clause-7.10** Interference under Article 226 was declined because Clause 7.10(iii) was an adequate statutory remedy. The writ was disposed of without granting or refusing the fixed-charge claim. ¶ 6
- bill-dispute-requiring-facts-relegated-to-competent-authority** The Court recorded a prima facie factual dispute about liability for fixed charges during the interruption and held that the statutory forum should examine it before the writ court exercises discretion. ¶ 6

NOT DECIDED — NEGATIVE AUTHORITY

- NOT DECIDED — WHETHER THE PETITIONER IS LIABLE TO PAY FIXED CHARGES FOR THE PERIOD WHEN SUPPLY WAS DISCONTINUED BECAUSE ILLEGAL ACTS OF A THIRD PARTY DAMAGED THE SUPPLY CABLE**
The live dispute. Rejected by respondent no. 4 on 31.07.2023 under Clause 6.5(b)(iii). Not examined. Left to the Consumer Grievance Redressal Forum, Company Level, at Meerut. ¶ 6
- NOT DECIDED — WHETHER M/S MODERN RICE MILL V. MVVNL (WRIT-C NO. 52054 OF 2010) AND HARIHAR COLD STORAGE V. PVVNL (WRIT-C NO. 24309 OF 2007) GOVERN FIXED-CHARGE LIABILITY WHERE THE INTERRUPTION IS CAUSED BY A THIRD PARTY**
Relied on by the petitioner. The Court did not discuss either decision. ¶ 6
- NOT DECIDED — A GENERAL RULE ALLOCATING GRIEVANCES BETWEEN THE CONSUMER GRIEVANCE REDRESSAL FORUM AT NOIDA AND THE FORUM, COMPANY LEVEL, AT MEERUT**
Decided only for this petitioner, on the respondents' corrected instructions that the NOIDA forum lacks jurisdiction and the Meerut forum has it. No jurisdictional test was stated. ¶ 3-4, 6
- NOT DECIDED — WHETHER A STAY OF DISCONNECTION SHOULD BE GRANTED ON THE MERITS**
Liberty to apply to the forum; that application is to be dealt with on its own merit. The Court's own restraint on coercive action is limited to four weeks, and only if the petitioner approaches the forum within one week. ¶ 4, 6

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/S Modern Rice Mill v. MVVNL & Anr.</i> Writ - C No. 52054 of 2010, decided on 19.10.2011 Allahabad High Court	Relied on by the petitioner for the challenge to the fixed-charge demand; the Court did not discuss the decision.		Petitioner	Relied on
<i>Harihar Cold Storage v. PVVNL & Anr.</i> Writ - C No. 24309 of 2007, decided on	Relied on by the petitioner for the challenge to the fixed-charge demand; the Court did not discuss the decision.		Petitioner	Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
22.12.2011 Allahabad High Court				

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.